

simplify the rules, with a somewhat silly exit method and without proper risk management. The reason for skipping such things here is to show off the general concept, how counter-trend logic works in isolation. I want to convince you that this is a viable approach to the futures markets, and if you agree on that, I encourage you to continue this model and improve it on your own.

Comparing the performance to the global stock markets, we get the figures in Table 7.1. Bear in mind that while we have loaded trading costs on the strategy, we have not applied any management or performance fees. Still, the long-term performance is comparable to that of trend following. An annualised return of nearly 20% with a maximum historical drawdown of less than 45% is respectable, and if you actually realise a Sharpe ratio of 0.89 in real life with a reasonably large asset base, you'll be very successful in this field. Arguably, the strategy is highly volatile but the returns do compensate you for the risk. It would be a simple matter to dial the position sizes back, of course, for a lower return, lower volatility, and lower drawdown.

In finance and trading, the game isn't about the highest possible return. It matters how you got there, and what risk you had to take. In terms of mathematical finance, we look to volatility to measure the risk, and we see it as the payment used to buy the performance. What you want to do is to pay as little as you can, and get as much as possible. In this case, you want to have as high return as you can, at the cost of the least volatility. The primary way to achieve something like that is diversification. And to get the most value out of diversification, you need low correlation numbers.

TABLE 7.1 Counter-trend performance

	Counter-trend	MSCI World TR
Annualised return (%)	19.7	8.3
Max drawdown (%)	-43.0	-56.2
Annualised volatility (%)	25.5	16.1
Sharpe ratio	0.83	0.58
Best month (%)	24.0	12.2
Worst month (%)	-20.1	-19.8
Percent profitable months	60.8	62.1